



**LIGHTING A FIRE: Kareem at Cyber City inauguration; (bottom) the plot**

Collector Muhammed Hanish had written to the revenue authorities calling the deal unauthorised. According to the collector, HMT had violated the Land Utilisation Act as it had no right to sell the land. Later, in December 2006 principal secretary, revenue, wrote to the collector saying the land could be confiscated from HMT if it was used for non-industrial purposes. In January 2007 the law secretary wrote that HMT had no right to sell the land. It has now surfaced that the management had placed advertisements for a bid in only two newspapers in Mumbai.

Ministers under the cloud are Industries Minister Elamaram Kareem of CPI(M), and Revenue Minister K.P. Rajendran of CPI. At a meeting in Kareem's chamber in June 2007, which was also attended by HMT trade union representatives, these two had overruled objections and issued orders to expedite the deal and register the land in the name of the realtor. Union leaders who had earlier objected to the sale agreed to the sell off after the company agreed to gift 30 acres to a workers' housing co-operative. Principal secretary, industries, who too attended the meeting wrote to the collector to withdraw his objections and accord sanction for its registration.

With the issue kicking off a factional feud in the CPI(M), everyone is washing his hands off it. "I don't know if there was anything foul in the deal which was endorsed by the management and all the trade unions. Now that we have received complaints we have written to Santosh Mohan Deb, Union minister in charge of Central PSUs to inquire if HMT has done anything wrong," says Kareem. On the other hand, Achuthanandan says: "How can I know about the hundreds of papers and files which come to my office?" The CPI(M) is now investigating the issue. With the power struggle in the party racing to a climax just before the state meet on February 11-14, the deal is providing loads of ammunition to both camps.

by M.G. Radhakrishnan

# Left Lands a Scam

**The year-old sale of PSU land in Kochi in violation of laws to a private developer has put the LDF Government in the dock**

**T**he Left, that squirms every time its opponents mention the public sector, finds itself in an unenviable situation over the sale of PSU land to Mumbai-based Blue Star Realtors, promoted by Housing Development and Infrastructure Ltd, for building a Rs 4,000 crore Cyber City in Kochi. The Left Democratic Front (LDF) Government allegedly facilitated the deal in 2007 in which 70 acres of Hindustan Machine Tools' (HMT) land was auctioned for a paltry Rs 91 crore—less than one-third of its market value.

Moreover, the sold land was part of the 782 acres that the state had transferred free of cost to HMT in 1962 for future expansion. In 1978 the government took back 400 acres but returned 100 acres after the company moved court. It is a portion of this land that HMT has sold now. As the project snowballed into a scandal, Chief Minister V.S. Achuthanandan who was to lay the foundation stone for the Cyber City project on

January 19, kept away from the function. "There are serious allegations against the project. The IT department under me has not received the required documents for the project and hence I kept away," says Achuthanandan, who has now ordered an inquiry by the chief secretary. However, the function was graced by three ministers and leaders of various trade unions.

Documents show that barely two days after the land was sold and registered in the name of Blue Star Realtors in November 2006, Ernakulam District



**"There are serious charges against the project, so I didn't inaugurate it."**

V.S. ACHUTHANANDAN, CHIEF MINISTER